built from 1966 to 1982. In 1978, before that 16-year "ceiling" had been penetrated on the upside, *Elliott Wave Principle* observed, "The first phase of the bear market should bring the market down from its peak to about the 1000 level again." Our idea was that that level might mark an intra-correction low, such as wave (A) of an expanding flat or triangle. If the market slices right through the 1000 level initially, it could later mark the end of wave (C) or (E) of a contracting pattern, just as the higher low of wave C in 1942 in the inflation-adjusted plot (see Figure 3-1) ended at structural support that was built from 1915 to 1924.

A market drop to the range discussed in this section is considered an impossibility by virtually everyone. One reason is that people typically conceive of such a decline in arithmetic terms. For a perspective on this mental view, take a look at the Dow on arithmetic scale, as shown in Figure 5-3. Another reason is that most people form opinions using only recent history as a benchmark, and of course recent history displays no such event because the market has been

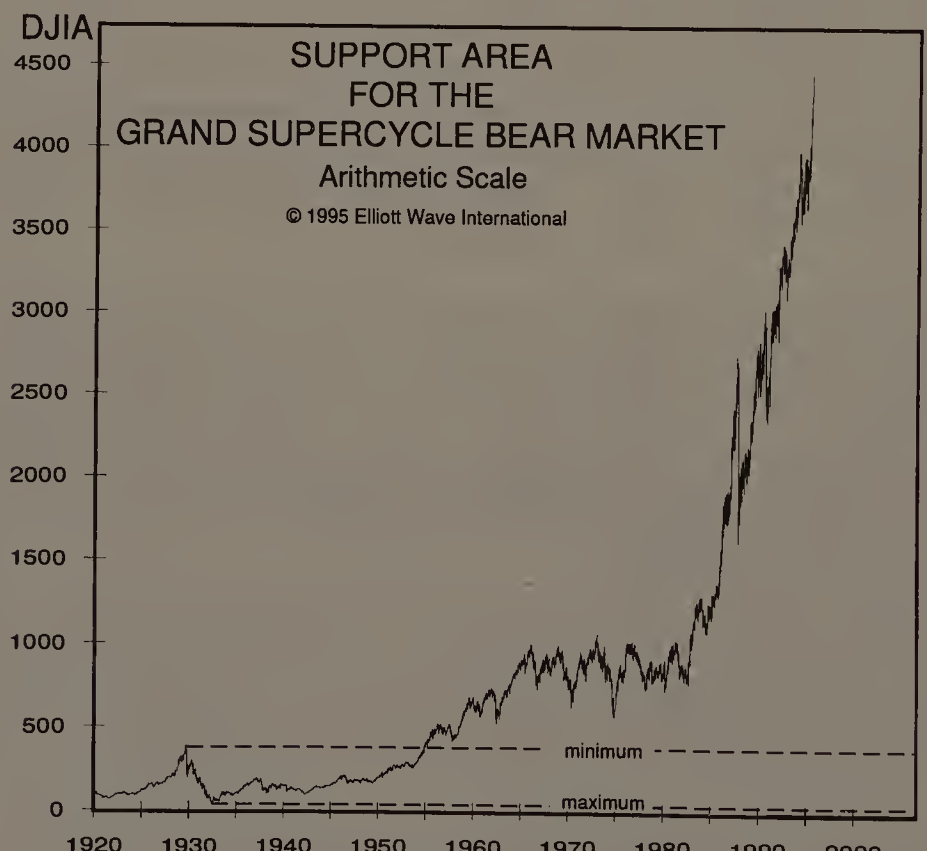

Figure 5-3